

R&D Budget Review After August Close

R&D budget review after the August close, for the executive team on September 16, 2026. It covers January to August actuals and the September reforecast, explains three variance drivers and asks for two decisions.

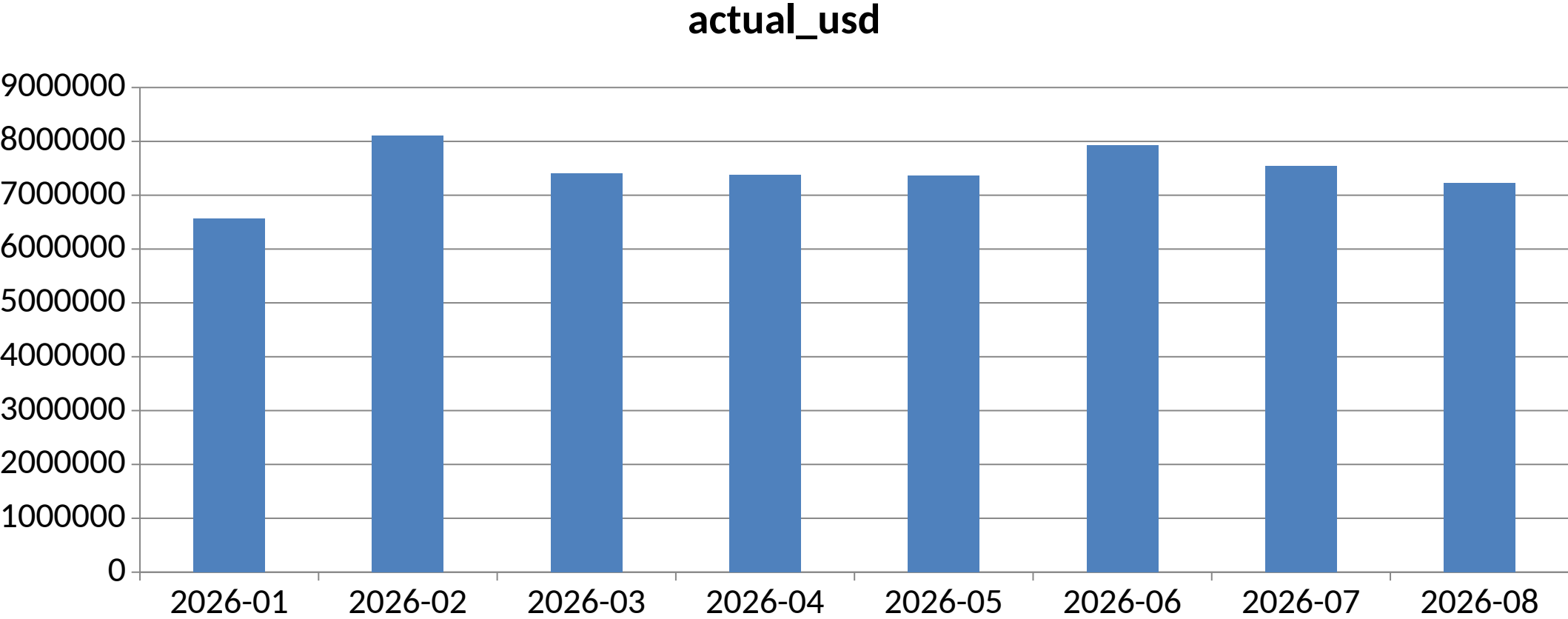
What this review covers

R&D only; G&A is reviewed separately. Actuals are January to August 2026 and include accruals: \$1.9 million of August expense was accrued rather than invoiced. The full-year view is the reforecast the executive team approved on September 11 against the \$94.8 million budget.

Year to date: \$4.9 million under budget

Actual R&D expense was \$59.5 million against a phased budget of \$64.4 million. Most of the gap is timing in nonclinical and CMC work rather than savings; about \$1.6 million is unused reserve phasing.

Year to date: \$4.9 million under budget • USD



Driver 1 – LRT-4051 work moves into 2027

LRT-4051 is forecast \$1.28 million under budget for the year because GLP report milestones and part of the API campaign move into 2027: nonclinical \$0.91 million under and CMC \$0.41 million under. This is a timing shift; the same work is still needed for the IND.

Driver 2 – CANOPY-1 pass-through and change order 4

LRT-1107 is forecast at \$55.05 million against \$52.60 million: clinical pass-through +\$1.60 million, CRO services +\$0.90 million including the first months of change order 4, and consultants +\$0.13 million, partly offset by CMC savings. About \$1.3 million of change order 4 falls in FY2026; the rest lands in 2027 and early 2028.

Driver 3 – discovery research services

Discovery is forecast \$0.61 million over budget, mainly research services (+\$0.62 million) from the two-FTE chemistry increase and external bioanalysis overflow. LRT-2240 is \$0.49 million under its \$4.10 million budget while Phase 2b readiness is paused.

Full year: \$95.07 million, \$0.27 million over

After the three drivers and smaller movements, the reforecast is \$0.27 million over the approved budget. The net figure already includes the reserve release.

Decision 1 – endorse change order 4 for the board

Change order 4 adds one country with six sites and extends CRO services by about three months: \$3.72 million in services plus an estimated \$2.38 million in pass-through. Because the combined value including estimated pass-through is above \$5 million, it needs board approval on October 8. We ask the executive team to endorse it for the board paper.

Decision 2 – interim bioanalysis funding to October 2

Research leadership will decide on bioanalytical capacity on October 2. Until then we propose continuing external overflow at about \$30,000 a month from within the discovery forecast. A second triple-quadrupole system would cost about \$640,000 in capital and is not in the FY2026 plan.

Appendix – definitions and reforecast totals

Variance is forecast minus budget; positive means over budget. Personnel cost is allocated from FTE estimates and is not a tracked actual by program. Totals by column for the 56 budget cells follow.

Appendix – definitions and reforecast totals • extract summary

Measure: fy_budget_usd

Unit: USD

Total: 94800000.0

Mean: 1692857.1429

Records: 56

Period: 2026-01-01 to 2026-09-11

Appendix – definitions and reforecast totals • extract summary

Measure: ytd_actual_usd

Unit: USD

Total: 59508220.0

Mean: 1062646.7857

Records: 56

Period: 2026-01-01 to 2026-09-11

Appendix – definitions and reforecast totals • extract summary

Measure: h2_reforecast_usd

Unit: USD

Total: 35561780.0

Mean: 635031.7857

Records: 56

Period: 2026-01-01 to 2026-09-11

Appendix – definitions and reforecast totals • extract summary

Measure: fy_forecast_usd

Unit: USD

Total: 95070000.0

Mean: 1697678.5714

Records: 56

Period: 2026-01-01 to 2026-09-11

Appendix – definitions and reforecast totals • extract summary

Measure: variance_to_budget_usd

Unit: USD

Total: 270000.0

Mean: 4821.4286

Records: 56

Period: 2026-01-01 to 2026-09-11